Joe Esparza, Chairman and Commissioner
Representing Employers

Alberto Treviño III, Commissioner
Representing Labor

Brent Connett, Commissioner
Representing the Public

Steve Pier, Executive Director

Request for Proposal (RFP)

For

Purchasing from People with Disabilities State Use Program Administrative Services

Solicitation No. 3202600177

Date of Release: June 29, 2026

Responses Due: August 12, 2026, by 10:00 a.m. Central Time

958-77 Project Management Services
961-02 Administrative Services, All Kinds
961-53 Marketing Services (Incl. Distribution, Research, Sales Promotions, etc.)

Sole Point of Contact for this RFP:

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Procurement Lead

TWC Procurement Portal

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DEFINITIONS

As used in this Solicitation, unless a different definition is specified or the context clearly indicates otherwise, the following terms have the meanings assigned below:

Table 1: Definitions

Term/Acronym	Definition
Addendum	A written addition, change, or supplement to this Solicitation that is posted to the ESBD and issued prior to the response due date.
Additional Evaluation Activities	Include Oral Presentations, Clarifications, Discussions, Proofs of Concept, Demonstrations, and/or Site Visits. These Additional Evaluation Activities follow the evaluation of the written Proposals and may be utilized by TWC to evaluate and ensure specifications meet TWC's needs as outlined in the Solicitation. Additional Evaluation Activities provide an opportunity for Respondents to highlight the strengths and unique aspects or clarify their Responses. These activities may be scored, as indicated in RFP Section 5.7 Discussions and Revised Responses.
Advisory Committee	The Purchasing from People with Disabilities Advisory Committee, established by the Texas Workforce Commission, as described in Texas Human Resources Code § 122.0057.
ATO	Authorization to Operate.

Term/Acronym	Definition
BAFO	Best and Final Offer.
Business Day	The day and hours (Monday through Friday, 7 a.m. to 6:00 p.m. Local Time) in which TWC is open for business. TWC is closed for business on the scheduled holidays indicated by the State Auditor's Office available at https://hr.sao.texas.gov/holidays/. The terms "Working Day" and "Business Day" may be used interchangeably. All uncapitalized references to "day" shall mean calendar day.
CISO	Chief Information Security Officer.
CNA	Central Nonprofit Agency. An entity designated as a central nonprofit agency under contract with TWC pursuant to Texas Human Resources Code § 122.019. By statute, a CNA cannot operate a Community Rehabilitation Program while under contract with TWC as a CNA.
Competitive Range	Consists of the Responses that have a reasonable chance of being selected for award based on the evaluation criteria and the best value criteria as stated in this Solicitation.

Term/Acronym	Definition
Contract	Means the written agreement entered into by TWC and Successful Respondent, which will incorporate the contents of this Solicitation and the Successful Respondent's Response, except as may be provided in the Contract and any amendments thereto.
Contract Term	Means the definite period of time that the Contract will remain in effect.
CRP	Community Rehabilitation Program. A government or a nonprofit private program operated under criteria established by TWC and under which individuals with severe disabilities produce products or perform services for compensation.
CTCD	Certified Texas Contract Developer.
CTCM	Certified Texas Contract Manager.
Disability	A disability recognized under the Americans with Disabilities Act that impedes a person who is seeking, entering, or maintaining gainful employment.
ESBD	The Electronic State Business Daily. An online platform administered by the Statewide Procurement Division (SPD) of the Comptroller of Public Accounts (CPA). The ESBD may be accessed as http://www.txsmartbuy.gov/esbd.

Term/Acronym	Definition
Final Written Response Score	Refers to the final scoring of the Solicitation based on the Scoring Matrix published in the Solicitation.
Fiscal Year (FY)	Texas State Fiscal Year, September 1 through August 31.
Local Time	Central Standard Time (CST) or Central Daylight Time (CDT), as is then prevailing in Austin, Texas.
NIGP	National Institute of Governmental Purchasing.
NIST	National Institute of Standards and Technology.
Non-Uniformly Priced Services	Services provided under the PPD Program for which pricing cannot be standardized on a statewide master contract due to site-specific operational variables, unique scopes of work, or localized labor and material costs (e.g., custodial, landscaping, and customized facilities maintenance services), thereby requiring individualized negotiation and TWC approval.

Term/Acronym	Definition
Offered Option	Options that are not requested in a response to this Solicitation but may be identified by a Respondent and included in its Response. A Respondent is not obligated to include an Offered Option in its Response. This is an opportunity for Respondents to offer options that TWC may not have been aware of at the time this Solicitation was written. TWC makes no commitment to quantity or timing of acquisition of Offered Options and Offered Options are not considered during evaluation of Responses.
PO	Purchase Order.
POA&M	Plan of Action and Milestones.
POCN	Purchase Order Change Notice.
PPD	Purchasing from People with Disabilities Program. Also referred to as State Use Program and Works Wonders Program.
PS	Procurement Services, a section within Procurement and Contract Services (PCS), part of Business Operations, a division of TWC.
Respondent	The individual or entity that submits a Response to this Solicitation. The term includes anyone acting on behalf of the individual or entity that submits a Response, such as an agent, employee, and representative. Also referred to a "Vendor."

Term/Acronym	Definition
Response	A Respondent's response to this Solicitation.
RFP	Request for Proposal. A formal solicitation document issued by TWC to the vendor community requesting a response for goods or services. (This document.)
Solicitation	This RFP, including all exhibits, attachments, forms, and Addenda, if any. May include Requests for Revised Proposals (RFRP) or Best and Final Offer (BAFO) RFPs, if issued.
State	The State of Texas and its instrumentalities, including TWC, its officers, employees, or authorized agents, and any other state agencies.
State Use Program	The statutorily authorized mandate that requires state agencies to purchase, on a non-competitive basis, products made and services performed by persons with disabilities, which have been approved by TWC pursuant to Texas Human Resources Code, Chapter 122 and which also meet the requirements of Texas Government Code § 2155.138 and § 2155.069. This program also makes approved products and services available to be purchased on a noncompetitive basis by any political subdivision of the state. Also referred to as Purchasing from People with Disabilities Program and Works Wonders Program.

Term/Acronym	Definition
Subcontractor	Any entity(ies) or person(s) providing goods or services under the Contract on Respondent's behalf, whether or not the entity(ies) or person(s) has/have a written agreement with the Respondent. The term does not include a state agency. The term includes an officer or employee of a state agency when the officer or employee contracts with a vendor in a private capacity.
Successful Respondent	The Respondent with whom TWC executes a Contract to provide the goods and/or services that this Solicitation requires.
Total Score	The Final Written Response Score that includes revised points for additional evaluation activities if any, as outlined by this Solicitation.
TWC	Texas Workforce Commission.
TWC Procurement Portal	The online platform used by TWC for publishing solicitations informing vendors of procurement opportunities and Response requirements and providing public notice of contract awards.
VetHUB	Veteran Heroes United in Business, as defined by Chapter 2161 of the Texas Government Code and Title 34 of the Texas Administrative Code (TAC), § 20.282.

Term/Acronym	Definition
VHSP	VetHUB Subcontracting Plan. Written documentation regarding the use of subcontractors, which is required to be submitted with all solicitations for state agency contracts with an expected value of $100,000 or more and where TWC has determined subcontracting opportunities are probable. The VHSP subsequently becomes a provision of the awarded Contract and shall be monitored for compliance by TWC during the term of the Contract.
VPTS	Vendor Performance Tracking System, as described under Texas Government Code § 2262.055 and 34 TAC § 20.115. Reporting requirements and vendor performance factors considered in VPTS are described in Texas Government Code § 2155.089 and 34 TAC § 20.509. The VPTS is available at: https://www.txsmartbuy.gov/vpts.

ARTICLE I PURPOSE

The Texas Workforce Commission (TWC) Purchasing Services (PS) section will administer the procurement process for this Solicitation, which includes Solicitation publication, handling of communications from Respondents, as well as managing the receipt of Responses for review and evaluation.

Information regarding TWC and its programs is available online and can currently be accessed at www.twc.texas.gov.

TWC is seeking to procure administration services for a Central Non-Profit Agency (CNA) to organize and administer the State Use Program, as outlined in Chapter 122 of the Texas Human Resources Code and Title 40 of the Texas Administrative Code (TAC), Chapter 806.

ARTICLE II SCOPE OF WORK

2.1 OVERVIEW/BACKGROUND

a. The State Use Program, also known as Purchasing from People with Disabilities and Works Wonders, was established by the State of Texas to promote the independence of individuals with disabilities through meaningful employment, while at the same time providing state agencies and political subdivisions of the state with needed products and services at a fair market price.
b. TWC's mission is to provide leadership and direction for programs that empower people with disabilities to achieve maximum personal independence through productive employment. TWC operates under the philosophy that individuals with disabilities who desire employment should have equitable opportunities to participate in the workforce.
c. The Successful Respondent will report directly to TWC. TWC oversees the State Use Program, which includes contracting with the Successful

Respondent (a CNA) to manage the daily operations of the State Use Program and provide financial support, including oversight and recruitment of Community Rehabilitation Programs (CRPs). CRPs employ individuals with disabilities to produce products and services to sell to state and local government entities. The Successful Respondent will be responsible for recruiting and working with the CRPs, which can be more than one hundred (100) at a time.

d. The 2025 Annual Report, submitted by the current CNA (WorkQuest), indicated that more than $82.9 million in annual wages were paid to people with disabilities, which represents approximately 6,137 people.
e. As required by Section 122.009 of the Texas Human Resources Code, to the extent the records of the Successful Respondent (a CNA) pertain specifically to state purchases of the products and services of persons with disabilities, such records are considered to be open records for purposes of the Public Information Act, Chapter 552 of the Texas Government Code.

2.2 Description of Services

2.2.1 Comprehensive CNA Services

The Successful Respondent must provide comprehensive CNA Services necessary for the effective management and operation of the State Use Program, which include, but are not limited to:

a. CRP Engagement and Development:

1. Educate potential CRPs on State Use Program participation requirements;
2. Recruit and assist CRPs in developing and submitting applications for suitable products and services aligned to customer needs;
3. Support CRPs with Integrated Competitive Employment efforts and compliance with 40 TAC Chapter 806;

4. Assist the CRPs in soliciting and negotiating contracts; and
5. Provide training and resources to support outplacement/supported employment and increase integrated employment opportunities for individuals with disabilities.

b. Program Management and Administration:

1. Execute a contract agreement with the Statewide Procurement Division (SPD) to establish and ensure adherence to appropriate statewide terms and conditions for all procurements managed under the State Use Program.
2. Manage and coordinate the day-to-day operation of the program including the general administration of contracts with CRPs operating pursuant to Chapter 122, Texas Human Resources Code and 40 TAC Chapter 806;
3. Allocate service and product orders among the various CRPs;
4. Monitor CRPs to ensure compliance with requirements for participation in the State Use Program;
5. Provide accounting services related to purchase orders, invoices, and payments to CRPs;
6. Prepare reports and fulfill other duties as designated by TWC;
7. Provide general administration of the State Use Program, meet performance criteria and submit timely reports required by 40 TAC Chapter 806;
8. Maintain and dispose of records in accordance with applicable laws and TWC directives and provide any or all records requested within three (3) weeks of the request;

9. Resolve contract issues and/or problems as they arise between the CRPs, the Successful Respondent, and/or customers, refer unresolved issues to TWC, and submit quarterly status reports on issues and referrals;

10. Maintain a system in accordance with generally accepted accounting principles (GAAP) to record information related to purchase orders, invoices, and payments to each CRP to facilitate the preparation and submission of the annual report;

11. Demonstrate compliance with state and federal tax laws and payroll laws by submitting quarterly reports of sales and taxes paid to CPA and the Internal Revenue Service (IRS); and

12. Maintain expertise of governmental procurement and contracting processes and laws.

c. Product and Service Delivery:

1. Maintain and operate a retail store and warehouse for use by state agency customers, adhering to state statutes and the Comptroller's Statewide Procurement Division requirements; and

2. Conduct research to identify new products and services.

d. Marketing and Promotion:

1. Directly market products and services to consumers through advertising and public relations activities as well as a retail business operational plan;

2. Conduct public relations activities to promote the program;

3. Create a database of state agency and political subdivision purchases to promote sales of State Use Program products and services;

4. Provide quarterly regional information workshops to promote the State Use Program throughout the year and across the state;
5. Provide customer relations support; and
6. Provide promotion of increased supported employment opportunities for persons with disabilities.

e. Customer Relations and Service Delivery:

1. Provide superior customer relations by:
    i. monitoring customer satisfaction with products and services,
    ii. responding to customer complaints within one (1) Business Day or less, and
    iii. reporting quarterly on consumer satisfaction levels for each CRP, based on complaints as to products or services provided, with a goal of incurring no more than five (5) complaints per year that have not been resolved to customer satisfaction;
2. Create and maintain automated tracking and monitoring of product/service sales and submit quarterly reports to TWC regarding delivery turnaround times and contract performance for each CRP; and
3. Respond to inquiries about individual sales and/or total sales within five (5) Business Days or sooner and submit quarterly reports regarding the number of inquiries and average response time.

f. Financial Management: Provide sufficient financial resources and/or the ability to maintain a line of credit to pay CRPs within thirty (30) Business Days. Average weekly payment to CRPs in Fiscal Year 2025 was approximately $4.4 million per week.

g. Compliance and Monitoring:

1. Monitor CRP compliance and promptly report violations to TWC, assisting CRPs in achieving compliance as needed;
2. Conduct business ethically and submit detailed quarterly reports on any conflicts between the CRPs and the Successful Respondent; and
3. Provide financial oversight and monitoring of the CRPs and report material changes in the CRP status to TWC.

h. Training and Resources: Provide training programs to CRPs on the requirements to participate in the state use program, governmental contracting, and procurement procedures and laws.

i. Reporting and Transparency: Provide an annual report that includes the CNA's audited financial statements, an updated strategic plan, and an updated projected schedule of expenses detailing the amount and percentage of management fees allocated to:

1. directly support the state use program,
2. expand direct services to programs that enhance the lives of individuals with disabilities, and
3. administrative overhead, such as salaries.

j. Expanding Employment Opportunities for Individuals with Disabilities:

1. Promote the development of person-centered planning to document employment goals, provide employment counseling, and facilitate placement services provided by CRPs, aiming for employment paying minimum wage or higher;
2. Research new products, services, and markets and improve existing products and services to increase employment opportunities (including those paying minimum wage or higher) and report to TWC quarterly on the status of these activities; and

3. Work with CRPs to develop employment opportunities.

k. Management of Non-Uniformly Priced Services Contracts: The CNA shall have the following obligations in connection with Non-Uniformly Pirce Services Contracts:

1. *Negotiation Facilitation*. The Successful Respondent shall act as the primary facilitator between the applicable state agency and the CRP to define the site-specific scope of work and pricing.

2. *Pricing Validation*. The Successful Respondent must review the CRP's proposed pricing prior to submission to ensure that it represents a fair market price, complies with TWC guidelines, and covers required wages and administrative fees.

3. *TWC Submission and Approval*. The Successful Respondent is solely responsible for compiling the completed package (including statement of work, pricing schedules, and compliance certifications) and submitting it to TWC for statutory review and approval.

4. *Contract Execution and Subcontracting*. Upon receiving written approval from TWC, the Successful Respondent shall promptly enter into a direct contract with the applicable state agency. The Successful Respondent shall subsequently execute a subcontract with the approved CRP to perform the services, maintaining sole prime contractor liability for the CRP's performance, timely payments for services to CRPs, and timely and accurately invoicing the applicable state agency for reimbursement of the CNA's payments for the CRP's services.

5. *Timeliness Standard*. The Successful Respondent must submit fully validated pricing proposals to TWC within ten (10) Business Days of reaching an agreement in principle between the applicable state agency and the CRP.

6. *Assignment*. Contracts for Non-Uniformly Priced Services must include a provision permitting assignment to a successor CNA with notice to TWC.

2.2.2 Key Personnel and Proposed Organization

2.2.2.1 Staffing

1. The Successful Respondent must staff with Key Personnel identified in the Proposal which are considered by the Successful Respondent to be essential to administering the PPD State Use Program and fulfilling the requirements of the resulting Contract.
2. Prior to substituting any of the proposed individuals, the Successful Respondent must notify TWC and obtain written approval of the proposed substitution as soon as possible, but no less than five (5) Business Days prior to said substitution.

2.2.2.2 Account Manager

1. The Successful Respondent must provide a minimum of one (1) dedicated Account Manager who is assigned full-time to the PPD State Use Program and is primarily responsible for working with TWC on resolving day-to-day issues.
2. The assignment of the dedicated Account Manager begins on the effective date of the Contract resulting from this RFP and continues uninterrupted throughout the duration of the Contract.
3. Account Manager(s) must be accessible by telephone number and email, and extremely knowledgeable of all aspects of TWC's PPD State Use Program. A minimum of one (1) Account Manager must be available Monday through Friday, between the hours of 8AM through 5PM, with the exception of the state of Texas holidays. Unavailability may result in the assessment of liquidated damages as set forth in Section 6.10.3 Specific Liquidated Damage(s).

4. The minimum qualifications for Successful Respondent's Account Manager are:
    i. Five (5) years' account management experience; three (3) of the past five (5) years as the account manager for the development, implementation and/or operation of accounts of comparable size and complexity to those defined within this RFP;
    ii. Past management experience, including subcontractors, with individuals having worked together as a unit in the past or currently for the effective and successful delivery of quality services;
    iii. Successful management of the delivery for a customer(s) with a similar scope of services; and
    iv. Successful management of the delivery for a customer with similar volumes of accounts and transactions.

2.2.2.3 Statewide Procurement Division (SPD) Liaison

1. The Successful Respondent must provide a minimum of three (3) dedicated staff members to act as liaisons with CPA's Statewide Procurement Division (SPD).
2. The Successful Respondent SPD Liaisons must involve TWC's administration in all substantive communications with SPD.
3. The assignment of the dedicated SPD Liaisons begins on the effective date of the Contract resulting from this RFP and continues uninterrupted throughout the duration of the Contract.
4. SPD Liaisons must be accessible by telephone number and email, and extremely knowledgeable of all aspects of TWC's PPD State Use Program. A minimum of three (3) SPD Liaisons must be available Monday through Friday, between the hours of 8AM through 5PM, with the exception of the State of Texas holidays. Unavailability may result

in the assessment of liquidated damages as set forth in Section 6.10.3 Specific Liquidated Damage(s).

5. The minimum qualifications for Successful Respondent's SPD Liaisons are:
    i. Five (5) years' account management experience; three (3) of the past five (5) years as the account manager for the development, implementation and/or operation of accounts of comparable size and complexity to those defined within this RFP;
    ii. Past management experience, including subcontractors, with individuals having worked together as a unit in the past or currently for the effective and successful delivery of quality services;
    iii. Successful management of the delivery for a customer(s) with a similar scope of services; and
    iv. Successful management of the delivery for a customer with similar volumes of accounts and transactions.

2.2.2.4 Other Key Personnel

1. The Successful Respondent must provide designated highly qualified and experienced Key Personnel. Designated is defined as a Successful Respondent full time employee whose primary responsibility is this Contract but may have other duties and/or customers.
2. "Key Personnel" for this Solicitation and resulting Contract are those persons, including the Successful Respondent and subcontractor personnel, considered integral to successfully implementing and maintaining quality service delivery, and timely completing all key deliverables.
3. The minimum qualifications for Successful Respondent's Key Personnel are:

i. Three (3) years' experience in performing and providing the types and level of services required in this RFP, preferably as an employee or as a subcontractor or other authorized representative of the Successful Respondent;

ii. Current or past experience working with other key personnel for the effective and successful delivery of quality services;

iii. Demonstrated success, either current or past, in performing the tasks assigned or in providing the services to a customer with a similar scope of services; and

iv. Successful performance of assigned tasks or in the delivery of services to a customer with similar volumes of accounts and transactions.

2.2.3 Communication

The Successful Respondent must maintain consistent and effective communication with TWC, SPD, and the CRPs.

2.2.4 Records

The Successful Respondent must maintain all necessary records for audit purposes in accordance with state and federal law and directives set forth by TWC. Additionally, as required by Section 122.009 of the Texas Human Resources Code, to the extent the records of the Successful Respondent (a CNA) pertain specifically to state purchases of the products and services of persons with disabilities, such records are considered to be open records for purposes of the Public Information Act, Chapter 552 of the Texas Government Code.

2.2.5 Transition Services

In the event that a Successor Respondent is chosen at the end of the term of the resulting Contract, the Successful Respondent must extend Services

to TWC for a period of one hundred and twenty (120) days or until such reasonable time that services from the new Successor Respondent are available and the CRPs and their customers have received notice of the change, as determined by TWC. The Successful Respondent shall assist the Successor Respondent by providing information and input as necessary to ensure smooth transition wherein services are not disrupted.

Additionally, to the extent the Successful Respondent has any contracts for Non-Uniformly Priced Services that have been approved under the PPD Program, the Successful Respondent shall include in such contracts a provision permitting assignment to a successor CNA and shall ensure all such assignments occur (with notice to TWC) during the transition period.

2.2.6 Legislative Changes

The Successful Respondent must track Texas legislation and keep abreast of changing factors that could impact the State Use Program and inform TWC of such factors.

2.2.7 Advisory Committee Meetings and Support

The Successful Respondent must attend Purchasing from People with Disabilities' Advisory Committee meetings and provide support for the Committee as requested by TWC.

2.2.8 Other Duties as Assigned.

The Successful Respondent must perform other duties as assigned by TWC in support of this Contract.

2.3 DELIVERABLES

Table 2: Deliverables

Deliverable	Description	Frequency / Due Date
Quarterly Report	This report combines all required quarterly reporting elements into a single, comprehensive document and provides TWC with a holistic view of the State Use Program's operations and performance, allowing for timely intervention and strategic decision-making. It must include, but is not limited to the following: a. CRP performance, b. financial data, c. program promotion, d. customer relations, e. conflict resolution, and f. compliance metrics. *(see Section 2.4 Deliverables Acceptance Criteria for additional detail)*	Quarterly

Deliverable	Description	Frequency / Due Date
Annual Report	It must include, but is not limited to the following: a. the CNA's audited financial statements, b. an updated strategic plan, and c. an updated projected schedule of expenses that details the amount and percentage of management fees allocated to: 1. directly support the state use program, 2. expanding direct services to programs that enhance the lives of individuals with disabilities and 3. administrative overhead, such as salaries. *(see Section 2.4 Deliverables Acceptance Criteria for additional detail)*	Annually / October 31
Semi-Annual Customer Satisfaction Survey Report	Submit the results in a formal report to TWC at least semi-annually. The report should include trend analysis and recommended actions to resolve identified recurring problem.	Semi-Annually

2.4 Deliverables Acceptance Criteria

Successful Respondent will be required to submit reports and adhere to ongoing requirements as described in Texas Human Resources Code Chapter 122 and 40 TAC Chapter 806.

To be approved, the report must include each of the items detailed above, and be reviewed and approved by TWC. If TWC determines the report is

incomplete, Successful Respondent will have one week to revise the report and submit to TWC for review and approval.

In addition, the Awarded Vendor must provide deliverables as outlined below:

Deliverable #1: Quarterly Report. Successful Respondent must submit a quarterly report detailing the following items:

1. Item 1: (§806.31(g)(1)) - List of CRPs that did not meet the criteria for participation in the State Use Program during the reporting quarter, along with the specific reasons for each CRP's non-compliance.
2. Item 2: (§806.31(g)(3)) - Categories of expenditures in the reporting format approved by TWC. This should provide a clear breakdown of how funds are being utilized within the State Use Program.
3. Item 3: (§806.32(b)(2)) - A status update on activities related to researching new products, services, and markets to increase employment opportunities for individuals with disabilities. The report must detail the specific new products, services, and markets researched and any progress in improving existing offerings.
4. Item 4: (§806.32(b)(4)) - A comprehensive overview of customer satisfaction levels for each CRP, based on complaints received. This should include: a summary of satisfaction levels, details of all complaints received, actions taken to resolve each complaint, and a demonstration of progress toward the goal of no more than five unresolved complaints per year.
5. Item 5: (§806.32(b)(5)) - A summary of the quarterly regional information workshops conducted to promote the State Use Program. Include information such as the location and date of each workshop,

the topics covered, the number of attendees, and any feedback received.

6. Item 6: (§806.32(b)(7)) - A detailed status report on contract issues and/or problems that have arisen between the CRPs, the CNA, and/or customers. This should include: a description of each issue, the steps taken to resolve it, whether the issue was resolved, and if not, whether it was referred to TWC.
7. Item 7: (§806.32(b)(9)) - Quarterly report of state sales and federal taxes paid to, respectively, the Texas Comptroller of Public Accounts and the Internal Revenue Service (IRS). The report must accurately reflect state sales and federal taxes paid to the Texas Comptroller of Public Accounts and the Internal Revenue Service (IRS).
8. Item 8: (§806.32(b)(12)) - A detailed report of any conflicts between CRPs and the CNA. This should provide a description of the conflict, the parties involved, and the steps taken to resolve the conflict.
9. Item 9: (§806.32(b)(13)) - Report regarding delivery turnaround times and contract performance for each CRP. This must include tracking data for product and service sales, as well as identify CRPs with underperforming delivery times or contract compliance issues.
10. Item 10: (§806.32(b)(14)) - A report regarding the number of inquiries and average response time in conjunction with the report described in item 8 of this subsection. Include the total number of inquiries received and the average response time for inquiries.

Deliverable #2: Annual Report. Successful Respondent must submit a report annually by October 31 detailing the following items:

1. Item 1: (§806.31(g)(2)(A)) – include updated marketing plan.

2. Item 2: (§806.31(g)(2)(B)) – include a proposed annual budget with estimated sales, commissions, and expenses.
3. Item 3: (§806.31(g)(2)(C)) – include a program budget with details on how the expected revenue and expenses will be allocated to directly support and expand the state use program and other programs that expand direct services and/or the enhancement of employment opportunities for individuals with disabilities.
4. Item 4: (§806.31(g)(2)(D)) – include an audited annual financial statement that shall include information on FDIC coverage of all cash balances, earnings attributed to the management fee for the state use program, accounts receivable, cash reserves, line of credit borrowings, interest payments, bad debt, administrative overhead and any detailed supporting documentation requested by TWC.
5. Item 5: (§806.31(f)(1)) - include the following information regarding CRPs that have contracted with the CNA: a collective executive summary of the CRPs annual state use program evaluations; the number of individuals with disabilities, according to their type of disability, who are employed in CRPs participating in the programs or who are employed by businesses or workshops that receive supportive employment from CRPs; the amount of annual wages paid to each employee participating in the program in a format determined by TWC; a summary of the sale of products offered by the CRPs; a list of products and/or services offered by a CRP; the geographic distribution of CRPs; the number of individuals without disabilities who are employed in CRPs under this chapter; and the average and range of weekly earnings for individuals with disabilities and individuals without disabilities who are employed in CRPs under this chapter.

6. Item 6: (§806.31(f)(2)) - include the following information from each CRP data on individual outplacement or supported employment to include: the number of individuals in outplacement employment; the hourly wage range; the range of hours worked; and the number of individuals with disabilities employed, listed by primary type of disability.

Deliverable #3: Semi-Annual Customer Satisfaction Survey Report. Successful Respondent must submit a semi-annual report detailing the following items:

1. Item 1: Purchaser Satisfaction – The report must utilize a 5-star rating system (or equivalent) to measure and summarize satisfaction across the following specific categories:
    a. Product/Service Quality: Satisfaction with the quality of Products, Services, and Temporary Employment Services purchased through the State Use Program.
    b. CNA Performance: Satisfaction with CNA Customer Service staff and Regional Marketing staff performance.
    c. Operational Efficiency: Satisfaction with delivery timelines, accuracy of product counts, and the delivery process (specifically addressing delivery to correct addresses).
    d. Financial Accuracy: Satisfaction with the timing and accuracy of invoicing and service certification paperwork.
    e. Training Accessibility: A summary of training received by purchasers, categorized by source (CNA staff, Comptroller staff, or internal agency training).
2. Item 2: Community Rehabilitation Program (CRP) Satisfaction - The report must utilize a 5-star rating system (or equivalent) to measure

and summarize satisfaction among participating CRPs across the following specific categories:

a. Financial Operations: Satisfaction with CNA billing, invoicing, and payment processing.

b. Marketing Support: Satisfaction with assistance provided by Regional Marketing Managers.

c. Resources and Outreach: Satisfaction with CNA publications, website usability, tradeshows, and the Annual Expo.

d. Compliance and Advocacy: Satisfaction with training/compliance opportunities and the CNA's representation of CRP interests to TWC.

3. Item 3: Qualitative Analysis and Improvement Tracking - The report must include a narrative section addressing specific feedback and "Areas of Opportunity" identified in the surveys, including but not limited to:

   a. Communication Response Times: Analysis of response times to email and phone inquiries (specifically targeting the goal of responding within one Business Day).

   b. Logistical Support: For Central Store purchases, an analysis of delivery options for small state agencies.

   c. Pricing and Data Support: Efforts to provide additional pricing support for specific service sectors (e.g., landscaping, custodial) and the availability of data/spreadsheets showing product trends by customer location.

4. Item 4: Trend Analysis - The report must include a comparative analysis of current survey results against the previous three (3)

reporting periods to identify upward or downward trends in star ratings and participation volume.

5. Item 5: Recommended Actions - The report must provide a formal Corrective Action Plan (CAP) for any category receiving an average rating below 4.0 stars, detailing the specific steps the CNA will take to resolve recurring problems identified by Purchasers or CRPs.

ARTICLE III SOLICITATION PROCESS

3.1 AUTHORITY

TWC is soliciting the goods and/or services stated in this Solicitation under the authority of Texas Human Resources Code Chapter 122 and 40 TAC Chapter 806.

All official communication (including, but not limited to, Schedule of Event changes, Addenda, and Questions and Answer documents) will be posted to the Electronic State Business Daily (ESBD) and the TWC Procurement Portal. TWC has no responsibility to communicate personally with each potential Respondent for this procurement. Each interested party is solely responsible for checking the ESBD for official TWC communication regarding this procurement.

3.2 SCHEDULE OF EVENTS

The dates in this Schedule of Events are tentative, and TWC reserves the right to modify these dates at any time. At the sole discretion of TWC, events listed in the Schedule of Events are subject to changes and cancellation. Scheduling changes or cancellations made prior to the Deadline for Submission of Responses will be published as an Addendum posted to the ESBD and the TWC Procurement Portal.

Table 3: Schedule of Events

Event	Date and Time
Solicitation Posted to ESBD and the TWC Procurement Portal	June 29, 2026
Pre-Solicitation Conference Attendance is optional	July 07, 2026 at 2:00 P.M. central time
Deadline for Submitting Questions or Requests for Clarification	July 07, 2026 at 5:00 P.M. Central Time
Deadline for Submission of Response **NOTE**: Responses must be **RECEIVED** by TWC by the deadline.	August 12, 2026 at 10:00 A.M. Central Time
Anticipated Contract Award	November 2026

Respondent must submit its Response to TWC in accordance with the due date and time as indicated in this Table 3: Schedule of Events or as changed via an Addendum posted to the ESBD and the TWC Procurement Portal.

3.3 Contract Documents

The Contract(s) resulting from this solicitation may consist of the provisions in this solicitation (including its attachments, forms, exhibits, and any Addenda); the Successful Respondent's Response, any TWC Request for Revised Response, the Successful Respondent's Response to the Request for Revised Response, and TWC's Purchase Order (PO). No prior agreement or understanding, oral or otherwise, of the parties or their agents will be valid or enforceable unless embodied in these documents. The Contract will

include a provision regarding the order of priority for the Contract documents.

TWC may elect to have the Contract(s) resulting from this Solicitation consist of a single document. This document will contain all rights and duties of the parties extracted from the relevant terms and conditions of the Solicitation (including its attachments, forms, exhibits, and any Addenda), the Successful Respondent's Response, the Request for Revised Response or BAFO, if any, and Successful Respondent's Response to the Request for Revised Response or BAFO, if any. Prior to award, TWC will prepare the Contract for review by the Successful Respondent.

Discussions may be had concerning possible revisions to the draft Contract to clarify points, further define Contract text, or to correct minor technicalities. These discussions are to be finalized and all requests for revisions resolved within ten (10) Business Days after the Successful Respondent receives the draft Contract for review or such additional time that may be agreed to by TWC. If discussions are not finalized within such time frame, the Response may be rejected, and discussions may be initiated with the next highest scoring Respondent.

3.4 Attachments and Forms

Table 4: Attachments and Forms

Attachment/Form	Title
Attachment 1	TWC Terms and Conditions
Form 1	Execution of Response
Form 2	Cost Response
Form 3	References
Form 4	Questions and Answers
Form 5	Substitute W-9 and Direct Deposit Form

3.5 Sole Point of Contact

All requests, questions, or other communication about this Solicitation must be made in writing to Procurement Services, addressed to the person listed below (Sole Point of Contact) with the Solicitation number in the subject line.

Taylor McCoy, CTCD/CTCM

Procurement Lead

TWC Procurement Portal

3.5.1 Prohibited Communication

Except as provided in Section 3.5 Sole Point of Contact, all communication with TWC regarding this Solicitation is prohibited. Unless allowable, TWC, its representative(s), and partners will not answer any questions or otherwise discuss the contents of this Solicitation with any potential Respondent or its representative(s). Attempts to ask questions by phone or in person will not be allowed or recognized as valid. Respondent shall rely only on written statements issued by or through TWC designated staff as provided by Section 3.5 Sole Point of Contact.

Failure to comply with these restrictions may result in disqualification of Respondent's Response. These restrictions do not preclude discussions between affected parties for the purposes of conducting business unrelated to this Solicitation.

3.6 Pre-Solicitation Conference

TWC will conduct a Pre-Solicitation Conference. A prospective Respondent should plan to attend the Pre-Solicitation Conference. See Section 3.2 Schedule of Events for the date and time. The Pre-Solicitation Conference will include an overview of the Solicitation. A question-and-answer session will also take place regarding general and technical questions.

3.6.1 Attendance

Attendance at the Pre-Solicitation Conference is optional but highly recommended.

Attendees to the virtual Pre-Solicitation Conference are required to register for the conference utilizing the link provided in Section 3.6.2 Logistical Information.

3.6.2 Logistical Information

PS will hold the Pre-Solicitation Conference on the date and time set out in Section 3.2 Schedule of Events.

People with disabilities who wish to attend the Pre-Solicitation Conference and require auxiliary aids or services should contact the Sole Point of Contact identified in Section 3.5 Sole Point of Contact at least seventy-two (72) hours before the Conference in order to have reasonable accommodations made by TWC.

Pre-Solicitation Conference Registration Link:
https://zoom.us/webinar/register/WN_so69eBW1Qqu3o0DYJr7kKg

After registering, you will receive a confirmation email containing information about joining the conference.

3.6.3 Questions at the Pre-Solicitation Conference

Attendees may submit questions in writing at the conference. All questions must be in the required format and include the information as referenced in Section 3.7 Questions/Requests for Clarification.

During the Pre-Solicitation Conference, TWC may provide responses to questions and requests for clarification, but only written responses posted by TWC as an Addendum to the Solicitation on the ESBD and TWC Procurement Portal will be considered an official, binding update to the Solicitation.

TWC reserves the right to amend, prior to the Response Deadline, answers previously posted. Amended answers will be posted on the ESBD and TWC Procurement Portal.

Unauthorized communications with TWC program area staff regarding this Solicitation before, during, or after the Pre-Solicitation Conference are prohibited. Failure to comply with these restrictions may result in disqualification of Respondent's Response.

3.7 Questions/Requests for Clarification

TWC will allow written questions and requests for clarification regarding this Solicitation. Questions must be submitted through the TWC Procurement Portal to the Sole Point of Contact listed in Section 3.5 Sole Point of Contact by the deadline established in Section 3.2 Schedule of Events using **Form 5 Questions and Answers**. Include the Solicitation section and page number to which each question applies.

TWC will post all questions and answers and, if appropriate, an Amended Solicitation to the ESBD and TWC Procurement Portal. Responses to questions or other written requests for clarification will not be provided individually to prospective Respondents submitting questions.

TWC reserves the right to amend answers previously posted. Amended answers will be posted to the ESBD and TWC Procurement Portal. It is the Respondent’s responsibility to check the ESBD and TWC Procurement Portal. TWC also reserves the right to provide a single consolidated response to all similar questions at the agency’s sole discretion.

Questions or requests for clarification received after the deadline in Section 3.2 Schedule of Events may be reviewed by TWC but may not be answered. Only TWC's written answers posted on ESBD and TWC Procurement Portal, in accordance with this section, are binding.

3.8 ADDENDA

Should an addition or correction become necessary after the Solicitation is issued, an Addendum relating the necessary information will be posted to the ESBD and TWC Procurement Portal. Respondents are responsible for periodically checking the ESBD and TWC Procurement Portal for addenda or additional information. **Respondents are required to acknowledge the Addenda by returning the signed Acknowledgment of Addenda with the Response. Failure to do so may disqualify the Respondent and does not absolve a Respondent from the requirements contained within any Addenda.**

3.9 VETHUB SUBCONTRACTING PLAN

Respondent is not required to submit a VetHUB Subcontracting Plan with its Response.

ARTICLE IV RESPONSE SUBMISSION INSTRUCTIONS

4.1 DEADLINE

Responses must be received by PS as prescribed no later than the date and time specified in Section 3.2 Schedule of Events.

Responses received after the deadline specified in Section 3.2 Schedule of Events will be rejected and will not be evaluated or considered for Contract award. TWC is not responsible for Responses emailed late, illegible, incomplete, or otherwise considered disqualified due to failure of electronic equipment or operator error.

4.2 GENERAL INFORMATION

Respondent must fully and completely address all requirements described in this Solicitation. Incomplete or partial Responses will not be considered. The

Respondent must provide all information that the Respondent believes would be helpful to TWC in evaluating the Respondent's ability to fulfill the Solicitation requirements. Respondent shall prepare a Response that clearly and concisely represents its qualifications and capabilities.

4.3 Response Format

The Response to this Solicitation must:

a. Be responsive to all Solicitation requirements;

b. Be in the 8 1/2" by 11" paper layout;

c. Be clearly legible; and

d. Be presented using font type Verdana or Arial, font size 12-point, with one (1) inch margins and 1.25 line spacing; the sole 12-point font size exception is no less than size 10 point for tables, graphs, and appendices.

4.4 Discrepancies

In the event of any discrepancies or variations between copies, TWC is under no obligation to resolve the inconsistencies and may make its scoring and selection decision accordingly, including the decision to potentially disqualify a Response. If Respondent fails to designate an "Original" Response as required by Section 4.5 Submission Method, TWC in its sole discretion, will determine the version to be used as the original or may disqualify the Response. If the Respondent submits a redacted Response as the "Original," TWC will disqualify the Response, and it will not be evaluated.

TWC will not accept submissions after the Response due date in Section 3.2 Schedule of Events to remedy discrepancies or variations in Response submissions.

4.5 SUBMISSION METHOD

TWC has implemented the eProcurement platform referred to as the TWC Procurement Portal. Respondent must upload all documentation indicated to the TWC Procurement Portal on the "Open Opportunities" tab.

Submissions by any other method will not be accepted.

To respond to this Solicitation, Respondents must register through the TWC Procurement Portal website. There is no charge to register.

Step-by-step instructions are available at: Vendor Registration

For a quick tutorial through the registration and submission process, visit: Creating and Uploading a Submission.

Respondents must contact the Sole Point of Contact prior to the deadline if there are issues with using the TWC Procurement Portal and an alternative submission method may be required. Failure to contact the Sole Point of Contact well before the deadline to make alternative arrangements will disqualify any subsequent Response submission.

In no event will TWC be responsible or liable for any delay or error in delivery. TWC is not responsible for electronic submissions that are captured, blocked, filtered, quarantined or otherwise prevented from reaching the proper destination server by any TWC anti-virus or other security software.

It is the Respondent's responsibility to appropriately mark and upload the Proposal to the TWC Procurement Portal by the specified date. Each Respondent is solely responsible for ensuring its Proposal is submitted in accordance with all Solicitation requirements and ensuring timely receipt by TWC. TWC is not responsible for electronic submissions that are captured, blocked, filtered, quarantined or otherwise prevented from reaching the proper destination server by any TWC anti-virus or other security software.

To confirm receipt of all electronic submissions, Respondent should request a confirmation by e-mail.

Hard copies received will not be accepted or reviewed.

It is the Respondent's responsibility to appropriately mark and deliver the Response to the TWC Procurement Portal by the specified date. Each Respondent is solely responsible for ensuring its Response is submitted in accordance with all Solicitation requirements and ensuring timely receipt by TWC. **In no event will TWC be responsible or liable for any delay or error in delivery. Response must be RECEIVED by TWC by the Response Deadline identified in Section 3.2 Schedule of Events.**

4.6 Required Forms and Submission Documents

Table 5: Required Forms and Submission Documents

Document Name
Narrative Proposal (Section 4.7)
Form 1 Execution of Response (Section 4.7.2)
Form 2 Cost Response (Section 4.9)
Form 3 References (Section 4.8)
Financial Statements (Section 4.11)
Form 5 Substitute W-9 and Direct Deposit Form
Proof of designation as a nonprofit organization by the Internal Revenue Service (IRS) (Section 5.2 b.)

4.7 Narrative Proposal

4.7.1 Executive Summary

Respondent must provide an Executive Summary of their Response (excluding cost information) that asserts the Respondent is providing, in its Response, all the requirements of this Solicitation, including Article II Scope of Work. The Executive Summary must demonstrate Respondent's understanding of TWC goals and objectives for this Solicitation.

If the Respondent is providing goods and/or services beyond those specifically requested, those goods and/or services must be identified. If the Respondent is offering goods and/or services that do not meet the specific requirements of this Solicitation, but in the opinion of the Respondent are equivalent or superior to those specifically requested, any such differences must be noted in the Executive Summary. The Respondent should realize, however, that failure to provide the goods and/or services specifically requested may result in disqualification.

The Executive Summary must not exceed five (5) pages and should represent a full and concise summary of the contents of the Response.

4.7.2 Execution of Response

Respondent must complete, sign, and return **Form 1 Execution of Response**. By signing, Respondent agrees to provide the goods and/or services described in this Solicitation and agrees to abide by all TWC Terms and Conditions as specified in this Solicitation and in resulting Contract. A Response without the required signatures is not responsive to the Solicitation and will be disqualified.

Unsigned Responses will not be evaluated; these Responses will be kept with the procurement file and not be returned to the Respondent.

4.7.3 Respondent Organization Information

Respondent must include the following information with their Response.

4.7.3.1 Respondent Point of Contact

Respondent must provide the name, address, and telephone number of Respondent's point of contact for any questions regarding the Response and, if different than the point of contact for questions about the Response, the name, address, and telephone number of Respondent's point of contact for any resulting Contract.

4.7.3.2 Experience/Respondent Organization Narrative

Respondent must provide a detailed narrative explaining why it is qualified to provide the services enumerated in Article II Scope of Work, focusing on key strengths and competitive advantages.

Respondent must describe its knowledge and experience in providing Program Management Services to comparable clients of similar size and complexity to TWC, including how many years Respondent has been managing the program. The Organization Narrative must not exceed two (2) pages.

4.7.3.3 Organization Profile

NOTE: Texas governmental entities are exempt from this requirement.

Respondent must provide an organizational profile, including:

a. Ownership structure (e.g., corporation, partnership, LLC, or sole proprietorship), including any wholly owned subsidiaries, affiliated companies, or joint ventures. (Please provide this information both in a narrative and as a graphical representation.)

    1. If Respondent is an affiliate of or has a joint venture or strategic alliance with another company, Respondent must identify the percentage of ownership of each joint venture member or affiliate and the percentage of the parent company's ownership. The entity performing the majority of the work under any resulting Contract, throughout the duration of the Contract, must be the primary Respondent.

    2. Finally, Respondent must provide its proposed operating structure for the services requested under this Solicitation and which entities (i.e., parent company, affiliate, joint venture, subcontractor) will be performing the services.

b. The year the company was founded and/or incorporated. If incorporated, please indicate the state where the company is incorporated and the date of incorporation;

c. The location of company headquarters and any field office(s) that may provide services for any resulting Contract;

d. The number of employees in the company, both locally and nationally, and the location(s) from which employees will be assigned to TWC's project; and

e. An indication of whether the company has ever been in contract with any Texas state agency. If "Yes," specify the agency name, contract term, and the scope of work for that contract.

4.7.4 Response to Requirements

a. Description of Services. Respondent must affirm its intent to comply with the requirements as stated in Section 2.2 Description of Services, and affirm that it will continue to comply with these requirements during the term of the Contract issued as a result of this Solicitation, if any.

b. Comprehensive CNA Services. Respondent must affirm and document how its Proposal meets the requirements as stated in Section 2.2.1 Comprehensive CNA Services, and affirm that it will continue to comply with these requirements during the term of the Contract issued as a result of this Solicitation, if any.

c. Key Personnel and Proposed Organization

   1. Respondent must affirm how its Proposal meets the requirements as stated in Section 2.2.2 Key Personnel and Proposed Organization, and affirm that it will continue to comply with these requirements during the term of the Contract issued as a result of this Solicitation, if any.

2. Respondent must provide staffing profiles and resumes for all dedicated key personnel who will be assigned to the Contract that demonstrates their ability to meet the requirements of their roles.
3. Respondent must also provide staffing profiles and resumes for all other key personnel assigned to career counseling and staff development training for disabled employees. Include the amount of time each of these positions will have committed to the execution of the contract.

d. Communication. Respondent must affirm and document how its Proposal meets the requirements as stated in Section 2.2.3 Communication, and affirm that it will continue to comply with these requirements during the term of the Contract issued as a result of this Solicitation, if any.

e. Records. Respondent must affirm and document how its Proposal meets the requirements as stated in Section 2.2.4 Records, and affirm that it will continue to comply with these requirements during the term of the Contract issued as a result of this Solicitation, if any.

f. Transition Services. Respondent must affirm and document how its Proposal meets the requirements as stated in Section 2.2.5 Transition Services, and affirm that it will continue to comply with these requirements during the term of the Contract issued as a result of this Solicitation, if any.

g. Legislative Changes. Respondent must affirm and document how its Proposal meets the requirements as stated in Section 2.2.6 Legislative Changes, and affirm that it will continue to comply with these requirements during the term of the Contract issued as a result of this Solicitation, if any.

h. Advisory Committee Meetings and Support. Respondent must affirm and document how its Proposal meets the requirements as stated in Section

2.2.7 Advisory Committee Meetings and Support, and affirm that it will continue to comply with these requirements during the term of the Contract issued as a result of this Solicitation, if any.

4.8 REFERENCES

Respondent must provide a minimum of three (3) references in the format set forth in **Form 3 References** and should also provide any canceled contract reference as applicable.

a. One (1) reference must relate to similar contracts or projects performed as described in Section 2.2 Description of Services within the last five (5) years, and must be from state, federal, and/or local governmental entities. Do not include TWC as a reference.
b. One (1) reference must verify your organization's financial capacity to operate a project in the total dollar amount requested in this solicitation.
c. One (1) reference may be a general reference of your organization's qualifications and should include companies' history, values, and experience working with the organization.

4.8.1 Similar Contracts

Each Respondent shall provide descriptions for a minimum of one (1) engagement of comparable complexity and sensitivity to the requirements of this Solicitation that have been conducted within the past five (5) years. The description of comparable engagements shall be detailed and cover the contracts the Respondent and any Subcontractors have had and all experience similar to this Contract that qualifies the Respondent to meet the requirements of this Contract, including, but not limited to:

a. Size of contract (including value);
b. Reason for contract termination/expiration, if contract is no longer in effect;

c. Types of services directly provided by the Respondent and whether the Respondent was the contractor or Subcontractor;

d. Term and type of contract, including effective dates; and

e. Any problems encountered.

4.8.2 Contract Performance

The Respondent shall state whether or not any of the following have occurred during the last five (5) years:

a. The Respondent has had a contract terminated, and, if so, shall provide full details, including the other party's name, address, and telephone number on **Form 3 References**.

b. The Respondent has been assessed any remedies, including liquidated damages or other such monetary remedies, under any existing or past contracts, and, if so, note the reason for and the amount assessed or paid for each incident.

c. The Respondent was the subject of (i) any threatened, pending, or resolved disciplinary action for substandard work and/or unethical practices; or (ii) any order, judgment or decree of any federal or state authority barring, suspending or otherwise limiting the right of the Respondent to engage in any business, practice, or activity.

d. The Respondent has been involved in any civil or criminal litigation and/or entered into any compromise agreement, settlement agreement, or resulting consent decree or judgements, if applicable, related to contract performance, the goods and/or services sought by this Solicitation, or that a reasonable person knowledgeable of the applicable industry would consider relevant to the work under the Contract. Respondents are not required to violate any confidentiality provision but must provide information not prohibited from disclosure.

4.9 Cost Response

In accordance with Section 4.9 Cost Response, the Respondent shall include one file named "Cost Response" that contains the Respondent's Cost Response in the format included in **Form 2 Cost Response**.

Cost information must be included as a separate document and presented only in the format set forth in **Form 2 Cost Response**.

Respondent must propose their fee to manage and coordinate the State Use Program under the oversight and direction of TWC. The CNA reimburses TWC for expenses incurred by the State Use program at TWC in accordance with Texas Human Resources Code § 122.019(f). Pricing agreed to in any resulting Contract shall be firm and remain constant through the life of the Contract (unless a Price Adjustment is permitted in accordance with Section 6.3 Price Adjustment).

4.10 Offered Options

TWC does not intend to limit the creativity of Respondents from bringing forward new suggestions or enhancements not described in this Solicitation. Respondents are encouraged to describe any Offered Options. Offered Options are not required and are not considered during evaluation of Responses. TWC will not award additional options if not included in the Response.

4.11 Financial Soundness

The Respondent must include the following items in its Response unless it is a governmental entity. Failure to include any of the items listed for the appropriate company type may result in disqualification of the Respondent's Response. If TWC learns of a failure to disclose after a Contract has been awarded to the Successful Respondent, the Contract may be terminated. In the event of such termination, the Successful Respondent shall be liable for

all costs associated with the re-procurement, including any increased costs for the services originally awarded.

4.11.1 Proof of Ability to Pay CRPs

In addition to the Financial Statements provided under Section 4.11.2, the Respondent must provide proof of sufficient financial resources to pay or maintain a line of credit to pay CRPs within thirty (30) Business Days as required by Section 2.2.1(f).

4.11.2 Financial Statements

The Respondent must provide the following information in an electronic file/document that is named in this format: "[Organization Name] _TWC_RFP_No. #3202600177 Financial_Information.docx". (A PDF form is acceptable in the event that is the only format available). TWC uses the last three years of each applicant's Financial Statements that have been either audited, reviewed, or compiled by a Certified Public Accountant to assess financial viability. The Current Ratio, the Debt-to-Equity Ratio, and the Notes to the Financial Statements are collectively reviewed and scored on a pass/fail basis.

TWC reserves the right to disqualify a Respondent that receives a failing mark.

a. Respondent Unique Entity Identification number (SAM.gov);
b. For the last three (3) fiscal years most recently ended, audited financial statements prepared in accordance with Generally Accepted Accounting Practices (GAAP);
c. Respondent's state and county of incorporation and its principal place of business;

d. Statement describing all unasserted and asserted legal claims, current status and expected outcomes and/or judgments and any off-balance sheet liabilities or contingencies;

e. Any official document displaying current proof of authority to conduct business in the State. Examples: State Franchise Tax Certification of Account Status and State Sales Tax Permit, both available from the State Comptroller of Public Accounts and the Certification of Fact, that is available from the Secretary of State (SOS) available at: https://www.sos.state.tx.us/index.shtml.

If any Respondent(s) is unable to provide the annual report specified above, the Respondent(s) may, at the discretion of TWC, provide the following alternate report as long as Respondent affirms that it is not required to have its financial statements audited and therefore does not currently have audited financial statements to provide in response to this Solicitation:

a. Last three (3) years of unaudited financial statements, including all supplements, management discussion and analysis, and actuarial opinions;

b. An unaudited financial statement compiled, reviewed and attested by an independent certified public accountant or certified public accountant of the most recent quarter of operation; and

c. A full disclosure of any events, liabilities, or contingent liabilities that could affect Respondent's financial ability to perform this Contract.

At a minimum, such financial statements must include:

a. Balance sheet;

b. Income statement;

c. Statement of changes in financial position;

d. Statement of cash flows; and

e. Capital expenditures.

4.11.3 Financial Statement Frequency

The Successful Respondent must provide the financial statements in Section 4.11.1 Financial Statements annually throughout the term of the Contract.

4.11.4 Change in Financial Condition – Duty to Notify

The Response must include a certification that the Respondent will notify TWC of a change in financial condition during the Contract term and any renewal thereof. If a Respondent experiences a substantial change in its financial condition prior to the award of the Contract, or if the Successful Respondent experiences a substantial change in its financial condition during the term of the Contract or any extension thereof, TWC must be notified of the change in writing at the time the change occurs or is identified. Failure to notify TWC of such substantial change in financial condition will be sufficient grounds for rejecting the Response or terminating the Contract. For the purposes of this section, examples of a substantial change in financial condition are events such as insolvency, bankruptcy or receivership.

4.12 Corporate Guarantee

If the Respondent is substantially owned or controlled, in whole or in part, by one or more other legal entities, the Respondent must submit the information required under Section 4.11 Financial Soundness above for each such entity, including the most recent financial statement for each such entity. The Respondent must also include a statement from the entity or entities with substantial ownership or control that the entity/ies will unconditionally guarantee performance by the Respondent of each and every obligation, warranty, covenant, term, and condition of any Contract resulting from this Solicitation. If TWC determines that an entity does not have sufficient financial resources to guarantee the Respondent's performance, TWC may require the Respondent to obtain another acceptable financial

instrument or resource from such entity, or to obtain an acceptable guarantee from another entity with sufficient financial resources to guarantee Respondent's performance.

TWC reserves the right to request that such entity unconditionally guarantee performance by the Respondent in each and every obligation, warranty, term, covenant, and condition of any Contract resulting from this Solicitation.

4.13 Exceptions

Each Respondent is highly encouraged, in lieu of including exceptions in a Response, to address all issues that might be advanced by way of exception by submitting such issues as questions or requests for clarification pursuant to Section 3.7 Questions/Requests for Clarification.

Any exception included in a Response may result in a Respondent not being awarded a Contract. If a Respondent includes exceptions in its Response, Respondent is required to use **Form 1 Execution of Response** and provide all information requested on the form. Any exception that does not provide all required information in the format set forth in **Form 1 Execution of Response** may be rejected without consideration.

Respondent must clearly identify the specific section and language to which it takes exception, propose specific alternative language, and describe its reasoning for requesting the exception. TWC will only consider exceptions submitted on **Form 1 Execution of Response**.

No exception, nor any other term, condition, or provision in a Response that differs from or contradicts this Solicitation will be considered to be part of any resulting Contract unless expressly made a part of the Contract in writing by TWC.

Any exceptions or deviations by the Respondent to **Attachment 1 – TWC Terms and Conditions** may make the Response unacceptable for award

without discussion. If a Respondent proposes exceptions to **Attachment 1 – TWC Terms and Conditions**, TWC may make an award without discussion to the next highest scoring Respondent with no exceptions to **Attachment 1 – TWC Terms and Conditions**.

4.14 Binding Offer

A Response should be responsive to the Solicitation as worded and without any assumption that any or all terms, conditions, or provisions of the Solicitation will be negotiated. Furthermore, all Responses constitute binding offers. Any Response that includes any type of disclaimer or other statement indicating that the Response, or any portion of the Response, does not constitute a binding offer may be disqualified, as determined by TWC in its sole discretion.

If a Respondent's ability to enter into a Contract is contingent upon any exception or assumption provided in accordance with Section 4.13 Exceptions, the Respondent may be disqualified from further consideration for Contract award.

4.15 Franchise Tax – Right to Transact Business in Texas

If applicable, the Texas franchise tax is imposed on each taxable entity formed or organized in Texas or doing business in Texas.

Respondent must be set up in the Texas franchise tax system prior to Contract award if applicable. Texas franchise tax information can be accessed at https://comptroller.texas.gov/taxes/franchise/.

4.16 Disclosure of Interested Parties

If TWC determines that Texas Government Code § 2252.908 may apply to a Contract award, TWC will instruct the Respondent to disclose interested parties to the Texas Ethics Commission (TEC) and TWC. A Respondent subject to this requirement must:

a. complete TEC Form 1295, Certificate of Interested Parties at https://www.ethics.state.tx.us/filinginfo/1295/;
b. submit the form online to TEC,
c. print the completed form that includes the Certificate Number automatically assigned by TEC, and
d. submit the form, signed by its authorized agency, by email to TWC.

If a Respondent does not timely submit a completed and signed TEC Form 1295 to TWC, TWC is prohibited by law from executing a contract, even if the potential awardee is otherwise eligible for award. TWC may award the contract to another Respondent. TWC may seek appropriate damages for Respondent's failure to comply with this requirement.

4.17 Ambiguity, Conflict, or Discrepancy

Respondent must notify the Sole Point of Contact identified in Section 3.5 Sole Point of Contact of any ambiguity, conflict, discrepancy, exclusionary specification, omission, or error in the Solicitation in the manner and by the deadline described in Section 3.7 Questions/Requests for Clarification.

If Respondent fails to properly and timely notify the Sole Point of Contact of any ambiguity, conflict, discrepancy, exclusionary specification, omission, need for clarification, or other error in the Solicitation, Respondent:

a. Waives any claim of error or ambiguity in the Solicitation and any resulting Contract;
b. Submits a Response at its own risk;
c. May not contest the interpretation by TWC of such provision(s); and
d. Is not entitled to additional compensation, relief, or time by reason of ambiguity, conflict, discrepancy, exclusionary specification, omission, or other error or TWC's later correction.

4.18 Response Irrevocability

Responses submitted to the Solicitation are irrevocable for one hundred eighty (180) calendar days following the solicitation closing date. This period may be extended at TWC's Procurement and Contract Services Director's request only by a Respondent's written agreement. Upon Contract execution, prices agreed upon by the Successful Respondent(s) are an irrevocable offer for the term of the Contract and any Contract renewals or extension(s). No other costs, rates, or fees shall be payable to the Successful Respondent unless expressly agreed upon in writing by TWC.

4.19 Questions or Requests for Clarification

By submitting a Response, Respondent grants TWC the right to ask questions and request clarification. As part of the initial evaluation, the evaluation committee may request clarification. Clarifying questions to a Respondent are to resolve conflicting information, apparent ambiguities, or minor clerical errors within the Response.

4.20 Cost of Submission and Additional Evaluation Activities

TWC will not reimburse Respondents for any costs related to Response preparation or submission. Additionally, Respondents will be responsible for their own presentation equipment if invited to participate in additional evaluation activities, such as in-person discussions, clarifications, or negotiations. Failure to participate in the requested additional evaluation activities may eliminate a Respondent from further consideration.

TWC is not responsible for any costs incurred by the Respondent in preparation for any additional evaluation activities. All costs incurred by Respondent are the responsibility of Respondent.

4.21 TWC Rights

All submitted Responses become the property of TWC. TWC reserves the right to use any and all ideas presented in any Response to this Solicitation. Selection or rejection of any Response does not affect this right.

The rights of TWC include, but are not limited to:

a. Cancellation of this Solicitation at TWC's sole discretion;

b. Suspension of the procurement process and issuance of Solicitation Addenda;

c. Rejection, in whole or in part, of any and all Responses received for this Solicitation;

d. Waiver of administrative deficiencies or minor technicalities in any of the Responses;

e. Utilization of any and all ideas presented in the Responses;

f. Directing any Respondent to submit Response modifications addressing subsequent Addenda;

g. Elimination of any requirements that are not met by all Respondents upon notice to all parties submitting a Response;

h. Making typographical corrections to Responses, with the concurrence of the Respondent;

i. Changing computational errors with the concurrence of the Respondent;

j. Requesting Respondents to clarify the Responses;

k. Requesting Respondents to submit additional information pertaining to the Response; and

l. Making an award without:

    1. Requesting clarification;

2. Allowing modification;
3. Discussing;
4. Negotiating; and/or
5. Requesting a revised response.

ARTICLE V EVALUATION AND AWARD

TWC will award a Contract to the Respondent(s) that offers the best value to the State and is in the State's best interest as determined using the evaluation criteria described in this Article V.

Responses that meet the minimum qualifications will be submitted to the evaluation committee for review and scoring. Each member of the evaluation committee will receive a copy of each responsive Response. The evaluators will review the Responses considering the criteria listed in Section 5.5 Evaluation Criteria.

Evaluators will individually score the Responses.

5.1 Conformance With State Law

Responses shall be evaluated in accordance with Texas Government Code § 2155.074(B). TWC shall not be obligated to select the lowest priced Response but shall make an award to the Respondent that provides the best value to the State of Texas.

5.2 Minimum Qualifications (Pass/Fail)

A Respondent must meet the minimum qualifications listed below. Failure to meet any one of the minimum qualifications listed below may result in a disqualification of that Response.

a. Respondent must have recently been in business for a minimum of five (5) years, or the principals/owners must have had ownership/

executive management experience within the last five (5) in a previous company that provided program management services;

b. Respondent must submit proof that they are designated as a nonprofit organization by the Internal Revenue Service (IRS) such as: IRS Determination Letter, State Registration Certificate or Form 990 Filings;

c. Respondent must submit a complete and signed **Form 1 Execution of Response**, in accordance with Section 4.7.2 Execution of Response;

d. Respondent must be financially solvent and adequately capitalized, as determined based on a review of documentation required by Section 4.11 Financial Soundness;

e. Respondent has submitted the Response in accordance with Article IV Response Submission Instructions; see also Section 4.6 Required Forms and Submission Documents;

f. Respondent who receives an overall score on the VPTS of "D" or below shall be disqualified from consideration for award.

5.3 Initial Compliance Screening

TWC will review Responses for initial compliance with the Submission requirements listed in Article IV and for demonstrated ability to meet Section 5.2 Minimum Qualifications (Pass/Fail) required to advance to evaluations. Failure to meet the minimum qualifications will result in the disqualification of the Response.

TWC will automatically disqualify any Response that does not include one or more of the completed and signed (as applicable) documents.

All Responses will be screened for inclusion of all required information prior to release to the evaluation team. TWC may exclude from further

consideration for selection any non-responsive Response or portion of a Response.

5.4 Response Evaluation

Each member of the evaluation committee will read the Responses in preparation for evaluation. The evaluation committee will score all Responses that pass initial screening in Section 5.3 Initial Compliance Screening, even if there is only one viable Response. Responses will be scored against the criteria in Section 5.5 Evaluation Criteria.

Responses will be evaluated utilizing aggregated individual scoring outlined in this Article V Evaluation and Award. The individual evaluators' scores will be aggregated and weighted, resulting in the final Response Score, unless TWC requests a Revised Response from those Respondents in the Competitive Range.

5.5 Evaluation Criteria

TWC shall consistently evaluate and score Responses in accordance with the following criteria.

a. Ability to Perform Services (50%)
    1. Section 4.7.4 Response to Requirements;
b. Past Performance, Experience, Qualifications, and References (40%)
    1. Section 4.7.3.2 Experience/Respondent Organization Narrative; and
    2. **Form 3 References (including Cancelled Contract References)** (Section 4.8.1 Similar Contracts, and Section 4.8.2 Contract Performance).
c. Price or Reasonableness of Price Proposal (10%)

5.6 Competitive Range

The Competitive Range will consist of the Responses that receive the highest scores, or most satisfactory ratings based on the published evaluation criteria and procedures governing this procurement. Cutoff for the Competitive Range will be based on the "natural break" in scores and on reasoned judgment that Responses below the cutoff cannot be made successful through clarification and negotiation. TWC is not obligated to enforce a natural break in scores and reserves the right to advance as many or as few Responses as qualified under these criteria to achieve the best value for the state of Texas.

5.7 Discussions and Revised Responses

After the written Response evaluation, Respondent may be selected for invitation to additional evaluation activities that may include one or more of the following: oral presentations, clarifications, discussions, Proof of Concept, demonstrations, and site visits. Advancement will be determined by the Competitive Range.

A Respondent that does not meet the advancement criteria in this Section will not be invited to participate in additional evaluation activities. The Final Written Response Score will be considered the Total Score, and the Respondent may not be considered further for Contract award.

To further identify the Respondent providing the best value, Respondents selected for additional evaluation activities will be the final group of Respondents eligible for award. Additional evaluation activities will allow for revised points for the Respondent's Final Written Response Score to replace the original technical score. This will be the Final Written Response Score with any adjusted points received, if applicable.

TWC may require additional evaluation activities from any or all Respondents to make a determination for award recommendation. Information from the

additional evaluation activities will be used in addition to the scoring of the criteria in Section 5.5 Evaluation Criteria. TWC will provide Respondents with advance notice of any such Additional Evaluation Activities. Advance notice will include an agenda and specific scenarios or use cases for each category or criteria listed in this Section.

5.8 Best and Final Offer (BAFO)

A Respondent should provide its best offer in its original Response. Respondents should not expect or assume that TWC will request a Revised Response or a BAFO at any time. TWC reserves the right to request more than one Revised Response from each of the Respondents in the Competitive Range; however, multiple, successive Responses are not envisioned should TWC issue a Request for BAFO as that is intended to be a "best and final offer." A Request for Revised Response or BAFO does not guarantee the Respondent an award or that further negotiations will be conducted.

If a Response is submitted to a Request for a Revised Response or BAFO, the Final Written Response Scores or Total Score (as outlined by Section 5.9 Final Response Score and Total Score) will be revised in accordance with the stated criteria in Section 5.5 Evaluation Criteria as to any changes made to the Respondent's original Response.

The Request for Revised Response or BAFO will allow a Respondent the opportunity to revise its original Response, including pricing. Revisions must be submitted in the manner and form prescribed by the Request. Requests will be sent to the point of contact provided by the Respondent. TWC is not responsible for a Respondent's failure to timely receive or respond to a Request.

If a Request for Revised Response or BAFO is issued by TWC, it will be evaluated by the Evaluation Committee based on the criteria listed in Section

5.5 Evaluation Criteria, rescored, and ranked. The award will then be granted to the Respondent that represents the best value to the State.

5.9 Final Response Score and Total Score

A Respondent's Final Response Score is based on the cumulative score of all criteria in Section 5.5 Evaluation Criteria. If a Request for Revised Response or BAFO is requested, the Final Response Score will be based on the Request for Revised Response or BAFO score, and any previous scores will be archived in the procurement record.

The Final Response Score may not always determine best value or selection for negotiation and award. See Section 5.10 Summary of Best Value Determination for more information.

5.10 Summary of Best Value Determination

The final selection for award will be based on best value, as determined by this section. This includes, but is not limited to, any scoring adjustments for outliers, Requests for Revised Offers or BAFOs, or other additional considerations as specified by this Solicitation. A Respondent is encouraged to thoroughly review the processes outlined in this Article V, as it documents the best value considerations to be made by TWC in selecting a Respondent for negotiation and Contract award.

If, for any reason, a Contract cannot be executed with a Respondent selected for award within a reasonable timeframe of TWC's determination to seek to contract with that Respondent, TWC may negotiate a Contract with the next highest-scored Respondent or may cancel, withdraw, modify, or partially award this Solicitation.

5.11 Public Information Act

Information, documentation, and other materials submitted in connection with this Solicitation or resulting Contract may be subject to public disclosure pursuant to the Texas Public Information Act, Texas Government Code,

Chapter 552. See **Attachment 1 – TWC Terms and Conditions**, Section 2.4.

TWC may, in its sole discretion (1) disqualify all Respondents that fail to fully comply with the requirements set forth in this section, or (2) offer all Respondents that fail to fully comply with the requirements set forth in this section additional time to comply. Submitting partial or incomplete information that suggests inclusion of confidential information constitutes failure to comply with the requirements set forth in this section.

5.11.1 Responses

If Respondent asserts that information provided in its Response is exempt from disclosure under the Texas Public Information Act, Respondent must mark and submit two separate, searchable Portable Document Format (PDF) copies (Original Response and "Public Information Act Copy," including attachments, of the Original Response) as identified below. **This copy is in addition to the original and all copies otherwise required under the provisions of this Solicitation).**

a. Mark Original Proposal:

1. Mark the top of the front page with the words "CONTAINS CONFIDENTIAL INFORMATION" in large, bold, capitalized letters (the size of, or equivalent to, 12-point Verdana font or larger);
2. Mark the bottom of each page that contains information that Respondent claims is exempt from public disclosure with the words "CONTAINS CONFIDENTIAL INFORMATION";
3. Identify, adjacent to each portion of the Response that Respondent claims is exempt from public disclosure, the claimed exemption from disclosure. Vague and general claims to confidentiality will not be acceptable.

NOTE*:* No redactions are to be made in the Original Response.

b. **Mark Public Information Act Copy of Response:**

1. Mark the copy at the top of the front page with "Public Information Act Copy" in large, bold, capitalized letters (the size of, or equivalent to, 12-point Verdana font or larger);
2. Each portion Respondent claims is exempt from public disclosure must be redacted (blacked out); and
3. Identify, adjacent to each redaction, the claimed exemption from disclosure. Each identification provided as required by this subsection (b) must be identical to the redactions identified in subsection (a)(3), above. The only difference in required markings and information between the Original Response and the "Public Information Act Copy" of the Response will be redactions, which can only be made in the "Public Information Act Copy." There must be no redactions in the Original Response.

Respondent should not submit a Public Information Act Copy indicating that the entire Response is exempt from disclosure. Merely making a blanket claim that the entire Response is protected from disclosure because it contains any amount of confidential, proprietary, trade secret, or privileged information is not acceptable, and this blanket claim will not be considered by TWC.

A Response should not be marked or asserted as copyrighted material. If Respondent asserts a copyright to any portion of its Response, Respondent agrees to reproduction and posting on public websites by the State of Texas, including all other state agencies, without cost or liability and, additionally, agrees to allow the State of Texas to provide a copy of the Response to individuals making a Public Information Act request for the response.

5.11.2 Contract

Within five (5) days from Contract execution, the Successful Respondent must submit a "Public Information Act Copy" of the Original Executed Contract (in addition to the original executed contract) to the TWC contract manager by email. The Public Information Act Copy must meet the following requirements:

a. The copy must be clearly marked as "Public Information Act Copy" on the front page in large, bold, capitalized letters (the size of, or equivalent to, 12-point Verdana font or larger);

b. Each portion Successful Respondent claims is exempt from public disclosure must be redacted (blacked out); and

c. Successful Respondent must identify, adjacent to each redaction, the claimed exemption from disclosure. Each identification provided as required in Subsection (b) of this section must be identical to those set forth in the Original Response as required in Section 5.11.(a)(2) above. The only difference in required markings and information between the Original Contract and the "Public Information Act Copy" of the contract will be redactions, which can only be included in the "Public Information Act Copy." There must be no redactions in the Original Contract.

ARTICLE VI GENERAL TERMS AND CONDITIONS

The Terms and Conditions identified in the Solicitation and **Attachment 1 – TWC Terms and Conditions** are applicable to this Solicitation and any Contract resulting from this Solicitation. TWC reserves the right to incorporate additional provisions in the Contract in the best interest of TWC.

In the event of a conflict between this Solicitation and applicable laws and regulations, precedence shall be given to the laws and regulations.

6.1 Contract Award

TWC intends to award one (1) contract as a result of this Solicitation.

A written notice of Contract Award will be posted on the ESBD and sent to all Respondents immediately following execution of the Contract.

6.2 Contract Term

The Contract Term will commence on the fully executed Contract date and expire two (2) years after execution date. At the end of the initial Term, TWC will have the sole option to renew the term of the Contract for three (3) additional one-year (1-year) terms.

The Contract is contingent upon the continued availability of funding. If funds become unavailable through lack of appropriations, legislative budget cuts, amendment of the General Appropriations Act, TWC consolidation of offices, or any other disruption of current appropriations, Termination provisions of **Attachment 1- TWC Terms and Conditions** shall apply.

If the resulting Contract does not include a defined option period, the extension is limited to one year.

6.3 Price Adjustment

TWC approves the Management Fee Rate charged by the CNA for its services in accordance with § 122.019(e) of the Texas Human Resources Code. Currently, the Management Fee Rate charged by a CNA for its services is computed as a percentage of the selling price of the product or the contract price of a service; it must be included in the selling price or contract price and must be paid at the time of sale. The management fee rate must be reviewed on an annual basis in accordance with § 122.030 of the Texas Human Resources Code.

6.4 Contract Amendments

The Contract may be amended only by written agreement signed by both the Successful Respondent and TWC, except in the case of changes in state of federal law.

6.5 No Guarantee of Volumes, Usage, or Compensation

TWC makes no guarantee of volume, usage, or total compensation to be paid to a Respondent under an awarded Contract, if any, resulting from this Solicitation.

6.6 Governmental Entities

If Respondent is responding to this Solicitation in its capacity as a governmental entity, certain Terms and Conditions found in this Solicitation, including exhibits and attachments, may not be applicable. Furthermore, to the extent permitted by law, if a Response is received from a governmental entity, TWC reserves the right to enter into an interagency or interlocal agreement with the governmental entity.

6.7 Respondent Waiver – Intellectual Property

SUBMISSION OF ANY DOCUMENT TO TWC IN RESPONSE TO THIS SOLICITATION CONSTITUTES AN IRREVOCABLE WAIVER AND AGREEMENT BY RESPONDENT TO FULLY INDEMNIFY THE STATE OF TEXAS AND TWC FROM ANY CLAIM OF INFRINGEMENT AGAINST THE STATE OF TEXAS AND TWC REGARDING THE INTELLECTUAL PROPERTY RIGHTS OF RESPONDENT OR ANY THIRD PARTY FOR ANY MATERIALS SUBMITTED TO TWC BY RESPONDENT.

6.8 Insurance

For the duration of any Contract resulting from this Solicitation, the Successful Respondent shall acquire insurance, bonds, or both, with financially sound and reputable independent insurers, in the type and

amount listed in **Attachment 1 – TWC Terms and Conditions**, Section 3.19 Insurance Requirements**.**

Notwithstanding the preceding, TWC reserves the right to consider reasonable alternative methods of ensuring the Contract in lieu of the insurance policies customarily required. It will be the Respondent's responsibility to recommend to TWC alternative methods of insuring the Contract. Any alternatives proposed by Respondent should be accompanied by a detailed explanation regarding Respondent's inability to obtain the required insurance and/or bonds. TWC shall be the sole and final judge as to the adequacy of any substitute form of insurance coverage.

Failure to maintain insurance coverage or acceptable alternative methods of insurance shall be deemed a breach of Contract.

6.9 Remedies

6.9.1 Assessment of Remedies

Once TWC has determined that Remedies are to be assessed, the Executive Director or Executive Director’s designee shall notify the Successful Respondent of the assessment(s). TWC will withhold Remedies from payments to the Successful Respondent, or, if no payments are to be made, TWC will make demand of payment of Remedies. The Successful Respondent must make payment within thirty (30) days of the TWC’s demand. **In the event the Successful Respondent fails to pay within the thirty (30) day period, TWC may make a claim for payment against the performance bond, with or without notice to the Successful Respondent, if applicable.**

6.9.2 Failure to Assess Remedies

The failure of TWC to assess Remedies in any instance where TWC is entitled to Remedies under the terms of this Solicitation, or the resulting Contract

shall not constitute waiver in any fashion of TWC's rights to assess Remedies.

6.9.3 Failure to Notify TWC of a Change of Ownership or Control or Change in Financial Condition

The failure of the Successful Respondent to notify TWC of a change of ownership or control or change in financial condition as required in Sections 6.12 Changes in Ownership and 4.11.3 Change in Financial Condition – Duty to Notify may result in the Successful Respondent being assessed sanctions in the amount of one thousand dollars ($1000) per incident.

6.9.4 Failure to Comply with Disclosure Requirement

The failure of the Successful Respondent to comply with the disclosure requirement in **Attachment 1 – TWC Terms and Conditions**, Section 2.3 may result in the Successful Respondent being assessed sanctions in the amount of one thousand dollars ($1000) per incident.

6.9.5 Failure to Produce Records or Information

6.9.5.1 As Part of Background Investigation

The failure of the Successful Respondent to cooperate with and/or produce records or information as part of a background investigation conducted pursuant to **Attachment 1 – TWC Terms and Conditions**, Section 2.31 may result in the Successful Respondent being assessed Remedies in the amount of five thousand dollars ($5000) per day for each day the records/information are not produced, or answers are not provided.

6.9.5.2 As Part of an Audit

The failure of the Successful Respondent to cooperate with and/or produce records or information as part of an audit conducted pursuant to **Attachment 1 – TWC Terms and Conditions, Sections 2.15-2.17** or requested pursuant to **Attachment 1 – TWC Terms and Conditions,**

Section 2.39 may result in the Successful Respondent being assessed Remedies in the amount of five thousand dollars ($5000) per day for each day the records/information are not produced, or answers are not provided.

6.10 Liquidated Damages

6.10.1 General

It is agreed by TWC and the Successful Respondent that:

a. If the Successful Respondent does not provide or perform the requirements referred to or listed in this Solicitation or fulfill the obligations of the Contract, damage to TWC will result;

b. establishing the precise measure of damages in the event of default by the Successful Respondent may be (i) costly, (ii) time consuming, or (iii) difficult or impossible to calculate;

c. the liquidated damage assessments contained herein represent a good faith effort to quantify the damages that could reasonably be anticipated at the time of execution of the Contract;

d. the damages set forth herein are just and reasonable;

e. nothing contained in this section shall be construed as relieving the Successful Respondent from performing all Contract requirements whether or not said requirements are set forth herein; and

f. TWC may, therefore, in its sole discretion, deduct damages from the compensation otherwise due to the Successful Respondent. All assessments of damages shall be within the sole discretion of TWC.

g. The Successful Respondent shall perform all services in accordance with the RFP requirements, provisions, terms, and conditions. This remedy is for failure to perform services according to a requirement, provision, term, or condition not covered by another remedy. Subject to the nature and extent of the non-compliance, TWC may assess a

ten percent (10%) remedy on each monthly invoice for all services until compliance is achieved.

1. Before this remedy can be applied, TWC must issue a written demand and provide the Successful Respondent a period of thirty (30) calendar days to achieve compliance in most circumstances. TWC, at its sole discretion, may reduce the time period depending on the criticality of the non-compliance.
2. TWC may apply one (1) or more of the remedies in response to non-compliance by the Successful Respondent.
3. In addition to the non-performance remedies above, TWC may elect to exercise its options to include any available remedy at law or in equity, up to and including termination of the Contract.

6.10.2 Liquidated Damages Assessment

Once TWC has determined that liquidated damages are to be assessed, TWC shall notify the Successful Respondent of the assessment(s). Upon receipt of written notice, the Successful Respondent will have ten (10) days to provide a written explanation of any justification that may be applicable to the liquidated damages being considered and a corrective action plan for bringing the operations within the standards specified. TWC has the right to amend the corrective action plan submitted by the Successful Respondent. In all cases, the corrective action plan must be approved by TWC in writing prior to implementation. The corrective action plan must be implemented by the Successful Respondent at no cost to and upon approval by the TWC Contract Manager. Liquidated damages will not be assessed during the specified cure period for the activity in question. If the breach is not cured or the Successful Respondent does not provide a written justification and/or approved corrective action plan, TWC will withhold liquidated damages from payments to the Successful Respondent, or, if no payments have been made, TWC will make demand of payment of liquidated damages. The

Successful Respondent must make payment within thirty (30) days of TWC's demand. In the event the Successful Respondent fails to pay within the thirty (30) day period, TWC may utilize the option to withhold any additional payments. Failure to pay assessed liquidated damages within the designated time frame may be deemed by TWC to be a breach of contract.

6.10.3 Specific Liquidated Damage(s)

6.10.3.1 Failure to resolve all issues reported by the TWC Program Managers and/or Customers within three (3) Business Days from the time the issue was originally reported to the Successful Respondent, or upon agreed-upon time frame will result in an assessment of five hundred dollars ($500) per day per instance following a five (5) Business Day cure.

6.10.3.2 Failure to deliver ad hoc reports to TWC within ten (10) Business Days from the day the report is requested will result in an assessment of five hundred dollars ($500) per day per instance following a five (5) Business Day cure.

6.10.3.3 Failure by the Successful Respondent's Account Manager to respond to email from the TWC Program Managers and/or Customers within twenty-four (24) hours, or by close of business of the next Business Day will result in an assessment of five hundred dollars ($500) per day per instance following a five (5) Business Day cure.

6.10.3.4 Failure by the Successful Respondent's Account Manager to be available Monday through Friday, between the hours of 8AM through 5PM, with the exception of the state of Texas holidays, will result in an assessment of five hundred dollars ($500) per day per instance following a five (5) Business Day cure.

6.10.3.5 Failure by the Successful Respondent's SPD Liaisons to be available Monday through Friday, between the hours of 8AM

through 5PM, with the exception of the State of Texas holidays, will result in an assessment of five hundred dollars ($500) per day per instance following a five (5) Business Day cure.

6.11 Service Level Agreements

The Successful Respondent shall meet or exceed the service criteria and timelines below. Ongoing failure to meet these timelines and criteria may be considered a breach of contract. If TWC determines that any of the timelines and criteria are not met for any given calendar month, TWC will provide written notice to the Successful Respondent.

6.11.1 The Successful Respondent must resolve all issues reported by the TWC Program Managers and/or customers within three (3) Business Days from the time the issue was originally reported to the Successful Respondent, or upon agreed-upon time frame.

6.11.2 The Successful Respondent must deliver ad hoc reports to TWC within ten (10) Business Days from the day the report is requested.

6.11.3 The Successful Respondent's Account Manager must respond to email from the TWC Program Managers and/or customers within twenty-four (24) hours, or by close of business of the next Business Day.

6.11.4 The Successful Respondent's Account Manager must be available Monday through Friday, between the hours of 8AM through 5PM, with the exception of the state of Texas holidays.

6.11.5 The Successful Respondent's SPD Liaisons must be available Monday through Friday, between the hours of 8AM through 5PM, with the exception of the state of Texas holidays.

6.12 CHANGES IN OWNERSHIP

The Response must include a certification that the entity is not for sale or to become acquired by another business entity during the twelve (12) months following the Response Deadline.

During the term of the Contract or any extension or renewal thereof, the Successful Respondent shall notify TWC in writing of any substantial change in the ownership or control of the Successful Respondent as soon as possible, but no later than thirty (30) days prior to its occurrence.

6.13 SEVERABILITY

If any provision or portion of this Solicitation is illegal, void, or unenforceable, the other provisions will not be affected.

END OF SOLICITATION